

increases may be less needed. However, Kitces merely aimed to reveal the superiority of a ratcheting rule to constant inflation-adjusted spending. When retirements are not on track toward worst-case outcomes, spending can increase, and the ratcheting rule provides a systematic mechanism for managing such spending increases.

## **Guyton and Klinger's Decision Rules**

The next decision rule approach provides the name for this category of methods. The Guyton and Klinger spending decision rules derive from an October 2004 *Journal of Financial Planning* article by Jonathan Guyton titled “Decision Rules and Portfolio Management for Retirees: Is the ‘Safe’ Initial Withdrawal Rate Too Safe?” and from a follow-up article in the journal he wrote with William Klinger in 2006 titled “Decision Rules and Maximum Initial Withdrawal Rates.”

The modern form of the rules, as they are generally understood and implemented today, is found in the latter article. In it, the authors use Monte Carlo simulations based on the underlying data from 1973 to 2004 and 1928 to 2004 to analyze three retirement asset allocations—50 percent, 65 percent, and 80 percent stocks—over forty-year retirement spending horizons.

Four decision rules comprise this approach. They allow spending to increase faster than inflation when markets are doing well and to drop, even in nominal terms, when the portfolio is losing value.

1. *Portfolio management rule*: This rule addresses where withdrawals are taken from and is not something I model in my simulations. With this rule, a cash reserve is created to cover spending needs. Following years with negative returns, asset allocation can change as withdrawals from equities are avoided if sufficient assets remain in cash and fixed income to cover withdrawals.
2. *Withdrawal rule*: Annual spending increases with inflation except in years after the portfolio experienced a negative return. After negative return years, spending stays the same. There is no makeup in subsequent years for a missed spending increase. This rule is only applied if the year's withdrawal rate (current spending divided by